

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 2010 (I)

Simple Forwarding, Inc.

v.

CULines and Norton Lilly International

**COMPLAINANT’S RESPONSE IN OPPOSITION TO
RESPONDENT CULINES MOTION TO DISMISS**

INTRODUCTION

Complainant Simple Forwarding, Inc. (herein referred to as Complainant) was directly harmed by Respondent CULines and Norton Lilly International, with both parties being named in a Verified Complaint filed with the Federal Maritime Commission for failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Claimant in violation of 46 U.S.C. § 41102(c) and Section 545.4 of the Code of Federal Regulations. As Respondent CULines is the only named Respondent to respond in any manner to the Complaint, and is the party that submitted the Motion to Dismiss, this Response addresses only the Respondent CULines and their Motion to Dismiss.

Respectfully, Respondent CULines Motion to Dismiss should be denied. The Motion to Dismiss submitted by (and on behalf of) the Respondent asserts that service of the Complaint was improper and impossible to fulfill based on the mercurial identity of the parent corporation

(Respondent CULines), the power of the Federal Maritime Commission (FMC or Commission) to exercise its authority and enforce its jurisdiction, and the assertion that Complainant has no right to recourse, as Respondent claims they are not a “first purchaser” per the “first purchaser rule.” (In the interest of keeping to the naming conventions used by the Respondent’s [and representatives of Respondent’s], first purchaser will be the exclusive name for the rule, although it is most commonly referred to as “direct purchaser.”) The assertions made within the motion to dismiss will be contested below.

BACKGROUND

Complainant filed a Verified Complaint naming CULines and alleging violations of “[failure] to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Claimant per 46 U.S.C. § 41102(c) and Section 545.4 of the Code of Federal Regulations, and the Interpretive Rule on Demurrage and Detention Under the Shipping Act,” (Verified Complaint- ¶ 3, Section D); and that “[Respondent’s] knowingly imposed unreasonable and misapplied per diem fees in violation of 46 U.S.C. § 41102(c) and Section 545.4 of the Code of Federal Regulations, and The Interpretive Rule on Demurrage and Detention Under the Shipping Act to Simple Forwarding,” (Verified Complaint- ¶ 3, Section E).

It is asserted in the Verified Complaint that Complainant apprised Respondent CULines of the issue of returning the storage container. This was done by providing Respondent CULines with terminal screenshots and stating their intention to dispute the charges. Evidence of

erroneous and damaging per diem charges has been in the possession of CULines since at least January 31, 2023.

On June 28th, 2024, Respondent (and those representing Respondent's) submitted a Motion to Dismiss; with claims of;

a) alleged lack of proper service

b) alleged lack of personal jurisdiction of the FMC to adjudicate the ostensible involvement of Respondent CULines

and

c) alleged lack of standing of Complainant due to Respondent's assertion that they are not first purchasers.

LEGAL STANDARD

When the Commission is charged with determining whether to approve or deny a motion to dismiss, the Commission reviews it under the standards of Federal Rule of Civil Procedure (FRCP) 12. In *Re: Vehicle Carrier Services*, 2019 WL 5558120, at *4, 1 FMC 2d 440 (FMC Oct. 21, 2019). The Commission's Rules of Practice and Procedure does not provision on its own for motions to dismiss, but the Commission is equipped with authority under 46 C.F.R. § 502.12 and applies Federal Rule of Civil Procedure 12(b) and the federal caselaw interpreting it. *Id.*; see *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620, 2014 WL 5316340, *6 (FMC Aug. 28, 2014).

To determine the applicability of the ‘direct purchaser rule,’ the germane portion of FRCP 12 is Rule 12(b)(6). See *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4. In order to strive toward prevailing over a motion to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). The complaint should be sufficient to “give the defendant fair notice of what the claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (The gauge of whether a complaint is sufficient lies in whether allegations contained in the document have enough details and information to allow for a response from the defendant.)

In resolving a Rule 12(b)(6) motion to dismiss, the Commission must draw all reasonable inferences from the allegations in the Complainant's favor and accept as true all factual allegations in the Complaint. *In Re: Vehicle Carrier Services*, 2019 WL 5558120 at *4. The salient distinction to be made is not whether a claim made by the Claimant has enough feasibility to succeed, but rather it is if the claim has been presented sufficiently. *In Re: Vehicle Carrier Services*, 2018 WL 2214682, at *9, 1 F.M.C.2d 45, 53 (ALJ May 7, 2018).

ARGUMENTS

1. No Contest To Required Standards For Motion To Dismiss

It is the intention of Complainant (and representative of Complainant) to conform with the standards established with Respondent's Motion to Dismiss by acknowledging each point, but also to demonstrate that Complainant is a willing participant in all the proceedings, prospective or actualized.

The Respondent has made clear that the Commission is empowered to determine whether the burden of proof has been met for granting a potential Motion to Dismiss, and it is the hope of the Complainant that a sufficient presentation of the Legal Standards required to meet a rebutting burden of proof will ensure a successful opposition to said Motion.

The freedom for Respondent to choose what means of establishing proof sufficient to present a Motion to Dismiss, is wholly the province of the Respondent. In turn, any reasoning that the Complainant provides in an effort to rebut the assertions made in said Motion to Dismiss is at the discretion of the Complainant. The success of either the Respondent or Complainant in reaching the burden of proof necessary for success of their respective motions is the province of the Commission. Therefore, there is no portion of the process to reach a determination that is contested by Complainant.

2. The Correct Respondent Was Named and Served.

The Complainant recognizes that it is wholly the responsibility of the Commission to make the determination of whether the service was actually and practically rendered properly.

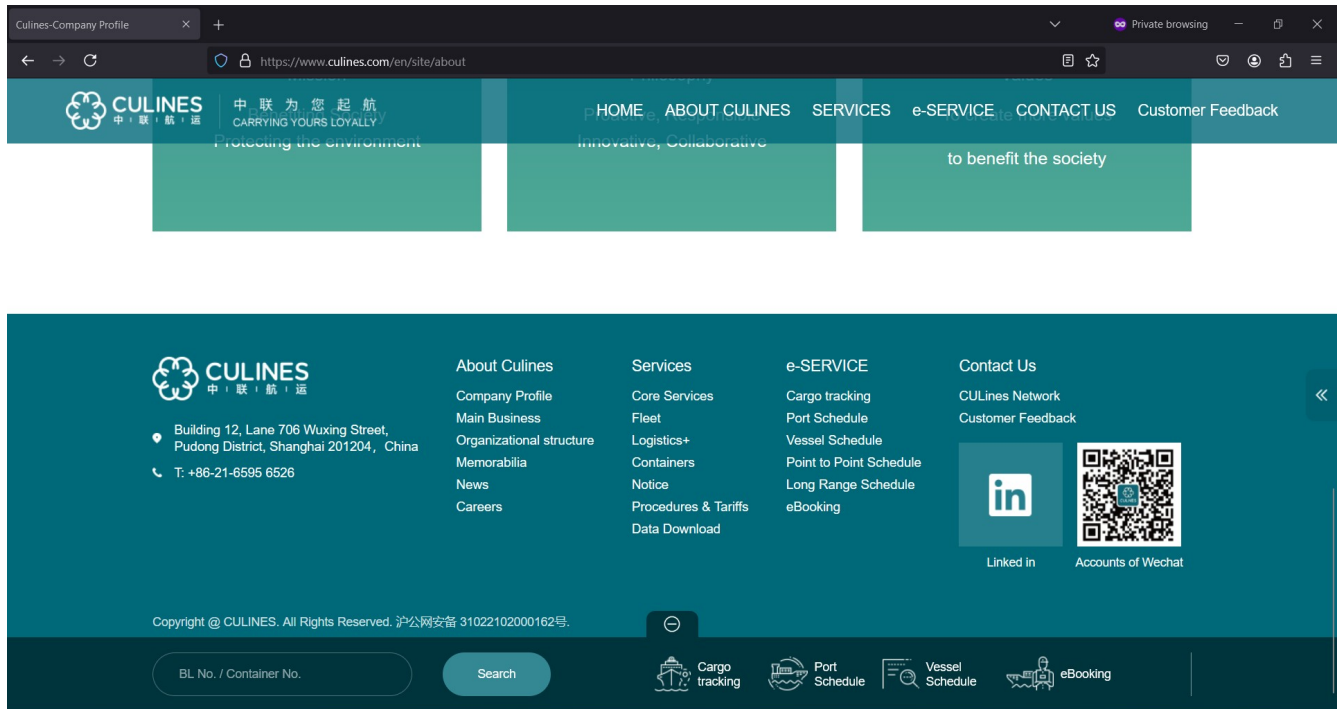
Complainant phrases our assertion in this way because it is the contention of Respondent CULines that “CUL” (as they refer to themselves) was not served. It is unknown to the Complainant how the Respondent was actually served, in a physical sense, as that is an official act of the Commission that Complainant is not privy to.

What the Complainant can attest to, and what can be proven, is that the service should have been rendered to the Shanghai address and the entity that is indicated within the Verified Complaint; irrespective of who Respondent’s claim service should have been rendered to.

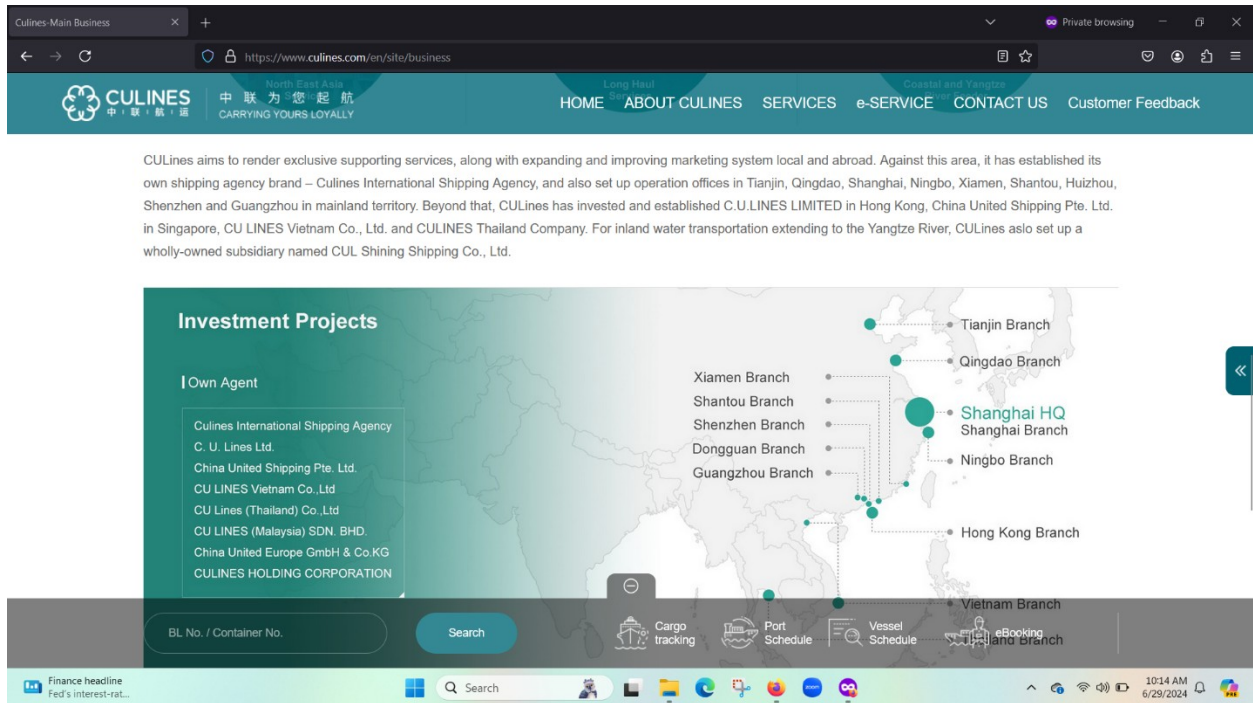
The Respondent’s go to great lengths to try and make a distinction between their Shanghai location and their Hong Kong location in order to allege that service was not rendered properly, with the attendant responsibility of service being that it goes to the correct entity. If a mistake was made with service, despite the intent clearly being communicated within the Verified Complaint as to which entity is named and should therefore be served, it is not for lack of understanding of the address of the correct entity or their identity. Respondent’s contention that the service was improperly served is based on their own misattribution of the entity.

CULines aka China United Lines Ltd’s stated and self-reported address is:

Building 12, Lane 706 Wuxing Street,
Pudong District, Shanghai 201204, China

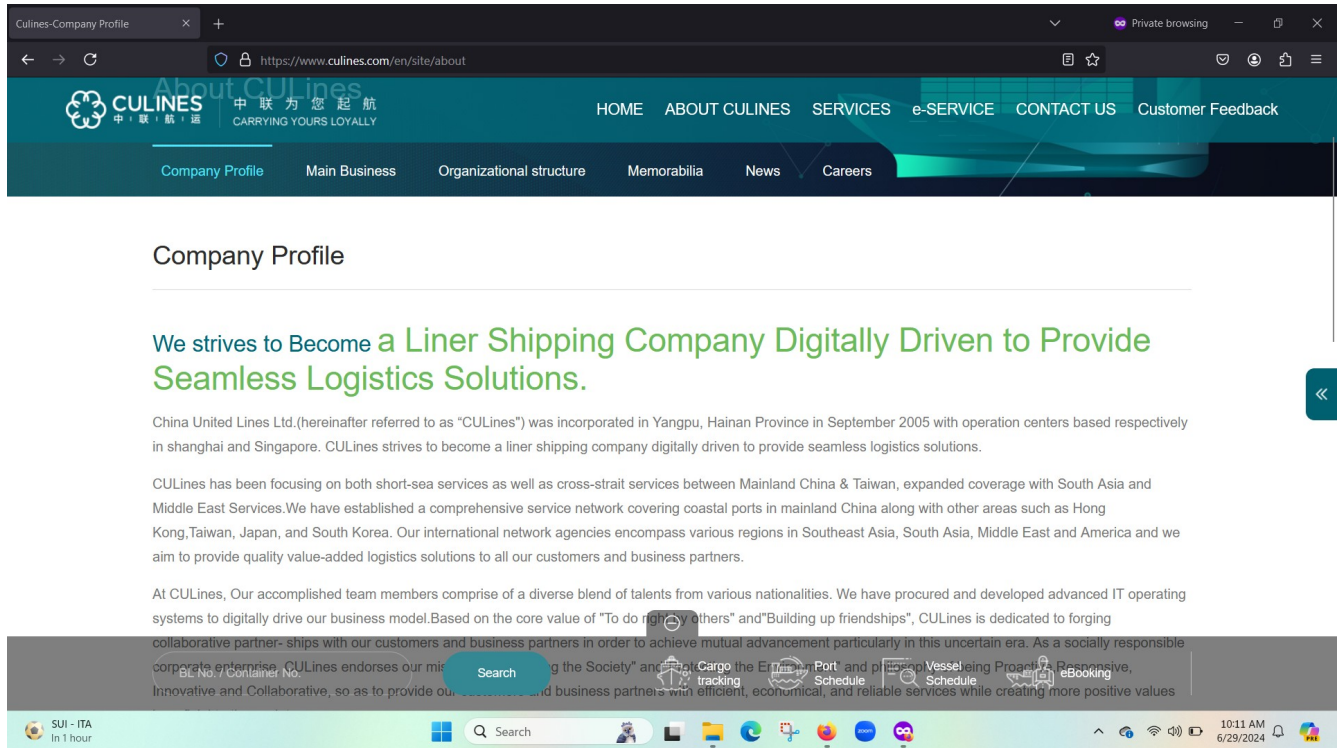


What follows below are two screenshots from culines.com that contest the Respondent's assertions:



The first screenshot displays the name of the entity that Respondent's contend the service should have been administered to: C.U. Lines Ltd, under a heading called "Own Agent." Attention should also be directed to the right side of the screenshot, where CULines indicates their Shanghai headquarters. Please note that the Shanghai headquarters are the headquarters of China United Lines Ltd, aka CULines, and that the entity C.U. Lines Ltd. is not indicated to have a headquarters, and appears to be a subsidiary or office of CULines.

In furtherance of Complainant's assertion that the correct entity was named and served, please see below:



Below the lime green headline “Seamless Logistics Solutions,” attention should be directed to the following “China United Lines Ltd. (hereinafter referred to as “CULines)...”.

It is peculiar that Respondent is seemingly unaware of the existence of CULines; when that existence is explicitly stated by Respondent on their own website.

According to Respondent’s Motion, ‘ “CULines,” to which the Complaint is purportedly directed, is not an entity at all, as far as CUL knows.”’ Whether or why Respondent CULines is confused as to their own stated preference of attribution is something only the Respondent can confirm with any certainty. However. Ashley Xu, a “legal specialist” for “C.U. Lines Limited” who submitted a Verification to Respondent’s Motion to Dismiss has a self-stated email address of

“ashleyxu@culines.com” that shares the same domain as “China United Lines Ltd” aka “CULines” aka “C.U. Lines Limited aka “CUL.”

Respondent claims that the served party “China United Lines Limited” (as they refer to them in the Motion by using the entire word “Limited” and not just the Ltd abbreviation) was and is “**not** now or ever a vessel operating common carrier.” China United Lines Ltd., aka CULines is the party named and conducting business at the Port Of Los Angeles as a Carrier.

The image shows two forms from Everport Terminal Services Inc. The left form is a 'ROUTING SLIP' and the right form is an 'EQUIPMENT INTERCHANGE RECEIPT'. Both forms are for routing number 5305 and contain detailed information about a container move, including dates, times, carriers, truckers, lanes, and equipment specifications. Both forms also feature a barcode at the bottom with the number 5305.

Left Form: ROUTING SLIP

NN 228
EVERPORT TERMINAL SERVICES INC
ROUTING SLIP
ROUTING NO. 5305
DATE&TIME 2021/10/08 08:49
CARRIER CHINA UNITED LINES LTD
TRUCKER NEW OPPORTUNITIES TRUCKING INC,
LANE IB11-FULL OUT
ROUTING SLIP/DRIVER INSTRUCTIONS
EQUIPMENT F/E LINE TYPE SIZE
IN GATE
CONT. TWCUB055871 FUL CULV EE5-
550-E-1 : YCXXX
CHAS: 40
OUT GATE
CONT:
SEAL:
CHAS-OUT:
1. SZ/HT/TP : //
2. Yard Location : EE5-550-E-1 : YCXXX
3. Pick up LABP/POOL chassis
5305

Right Form: EQUIPMENT INTERCHANGE RECEIPT

EVERPORT TERMINAL SERVICES INC
EQUIPMENT INTERCHANGE RECEIPT
TIR NO. 5305
DATE&TIME 2021/10/08 11:37
CARRIER CHINA UNITED LINES LTD
TRUCKER NEW OPPORTUNITIES TRUCKING INC,XP02502
GATE MOVE FULL OUT
CONTAINER TWCUB055871 CULV ST 40
CHASSIS APMZ425653 TRAC
GENSET
VESSEL-VOYAGE A DAISEN2137E
BOOKING/BL SHA2106318
SEAL NUMBERS SJJ244664
WEIGHT 12871
TEMP. Vent:
HAZMAT
DAMAGES:
5305

“Nom de Guerre” translates to “war name,” and was used by the French to try and protect the person using that Nom de Guerre from reprisals in conflict. CULines, China United Lines Limited, China United Lines Ltd., C.U. Lines Limited; however Respondent decides to style themselves on any given day and despite whatever Nom de Guerre they assume; Complainant is satisfied that they named the correct party in their initial Complaint; and based on the Respondent’s own Motion, it appears to the Complainant that the Commission in actuality served the proper party.

The last assertion made in this section by the Respondent, is that the FMC does not possess the authority to execute by mail any form of service to the entity “C.U. Lines Ltd.” which they state is “...a foreign company not regulated by the FMC...” under the auspices of their (the entity C.U. Lines Ltd) not being subject to whatever authority CULines concedes the FMC does possess. As the Complainant named CULines, and not C.U. Lines Ltd., this assertion and argument is irrelevant to any matters, as CULines and their activities are subject to the Commission’s jurisdiction.

3. Respondent is a Regulated Entity.

Respondent’s state in their Motion that (quoted section in italics and bracketed by quotation marks):

“Both the Shipping Act and the FMC regulations define an ocean common carrier as a ‘common carrier’ that operates the vessels by which transportation is provided. In particular, as stated by the Shipping Act, a ‘common carrier’ is:

‘[A] person that (1) holds itself out to the general public to provide transportation by way of passengers or cargo between the United States and a foreign country for compensation, (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.’”

46 U.S.C. § 40102(7); see 46 C.F.R. 520.2.

Thus, in order to be a common carrier, an entity must meet all of the following requirements;

- It must hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country;*
- It must assume responsibility for the transportation of cargo from origin to destination; and*
- It must use a vessel operating on the high seas to provide such transportation.*

And in order to be a Vessel-Operating Common Carrier, the entity must actually operate the vessels used to provide service in the U.S. foreign trades.

*CUL does not currently provide **any** transportation services in the U.S.-foreign trades. As confirmed by the verification of Ashley Xu:*

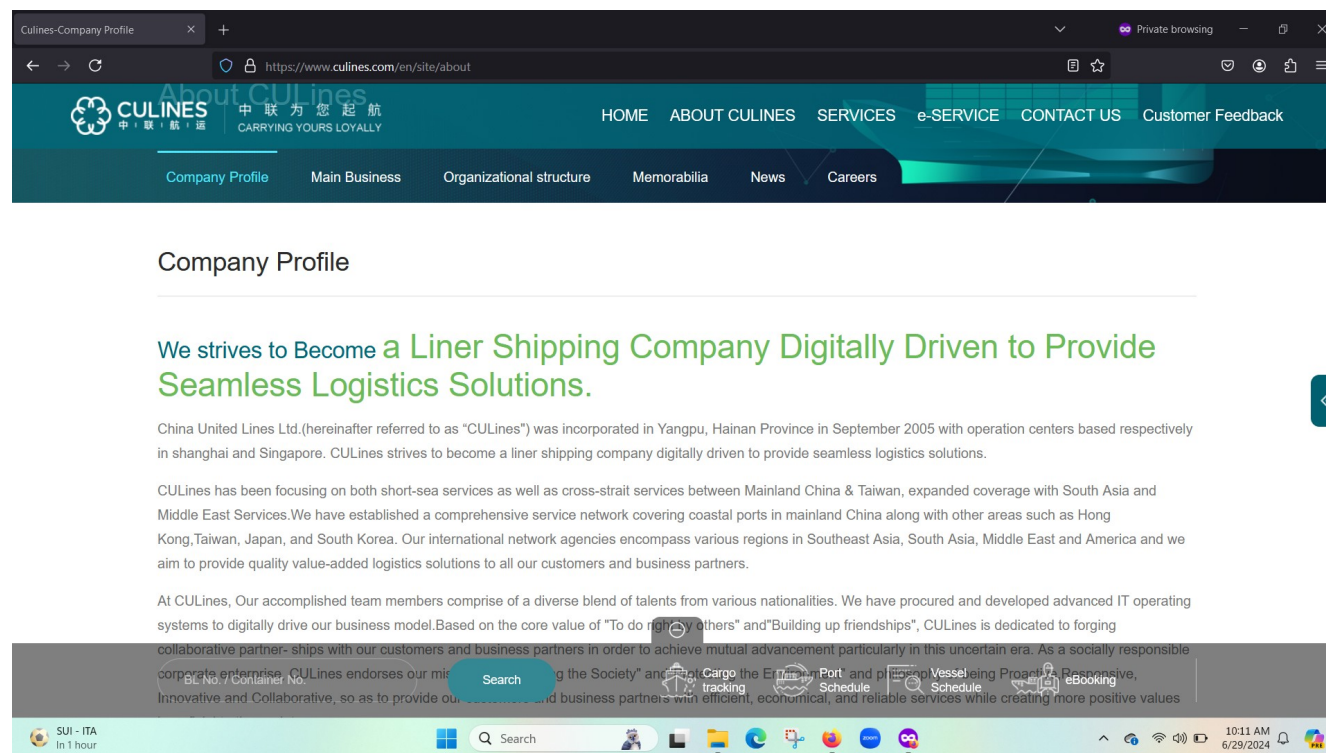
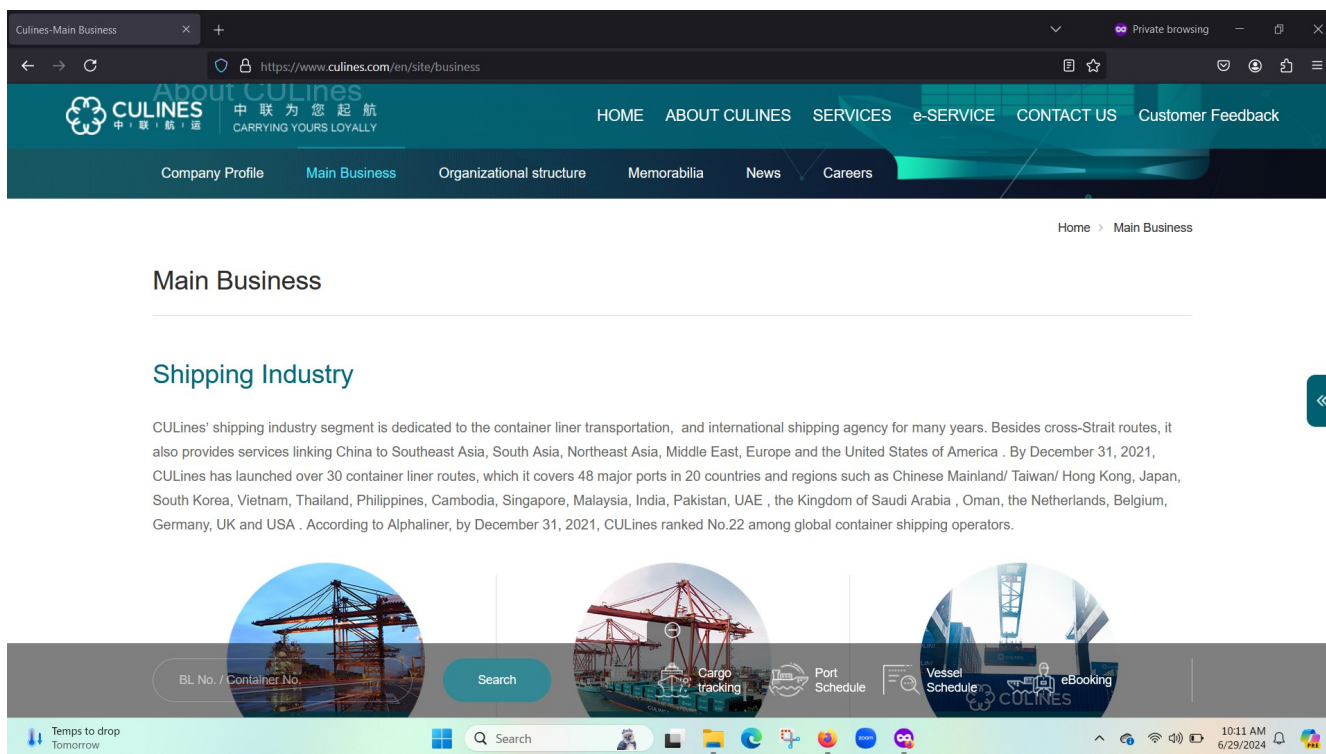
- *CUL does not currently hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation.*
- *CUL used to provide transportation service in the U.S. but no longer does.*
- *CUL does not currently assume responsibility for the transportation of cargo to or from any U.S. ports.*
- *CUL does not currently operate any vessels by which U.S.-foreign transportation is provided.”*

However, Respondent *does* hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country.

Respondent did and *does* claim to assume responsibility for the transportation of cargo from origin to destination; and

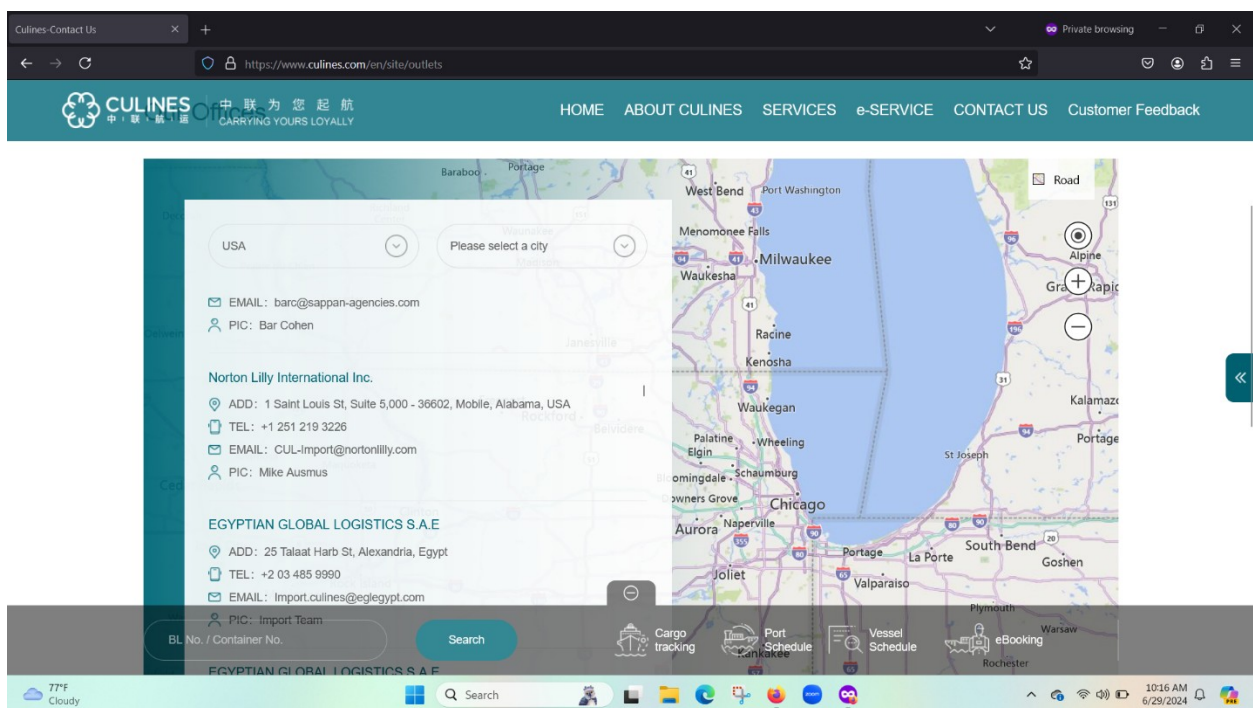
Respondent did in actuality, and claims to still, use a vessel operating on the high seas to provide such transportation.

Contrary to Ashley Xu’s verified statement, CULines still does hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation:



Per 46 USC § 501.2 General: “(a) Statutory functions. The Commission regulates common carriers by water and other persons involved in the oceanborne foreign commerce of the United States under provisions of title 46, subtitle IV of the United States Code and other applicable statutes.”

Additionally, Respondent still maintains an office in the United States, which they list and advertise:



CULines does not need to have a current organization number for the Commission to hold jurisdiction over the activities they claim to perform, and have performed, while engaging in the oceanborne commerce of the United States. In fact, deciding or declaring otherwise would create a dangerous precedent, whereby foreign entities could and would act as regulated entities

or entities under the Commission's jurisdiction and authority do, while evading the jurisdiction of the Commission and the enforcement of the Shipping Act and other regulations.

Respondent's tenuous rationale for invoking the Hague as the only possible regulatory body that could compel compliance with a directive by the FMC, for matters of which the Commission holds jurisdiction, flies in the face of the interest and rights of the Commission to enforce the rules and regulations that preserve the integrity of maritime trade and activity.

Per 46 USC § 40102(7):

“Common carrier .— The term “common carrier”— (A) means a person that— (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country; but (B) does not include a carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker, or by vessel when primarily engaged in the carriage of perishable agricultural commodities— (i) if the carrier and the owner of those commodities are wholly-owned, directly or indirectly, by a person primarily engaged in the marketing and distribution of those commodities; and (ii) only with respect to the carriage of those commodities.”

CULines, due to their activities as both a Common Carrier and a Vessel Operating Common-Carrier previous and current, meet the definition of a “Common Carrier,” and a Vessel Operating Common-Carrier, by their own admission and advertisement. Additionally, as a

“person” engaged in the oceanborne foreign commerce of the United States, Respondent’s current and previous actions and activities are subject to the Commission’s jurisdiction.

4. Claimant is a Direct Purchaser

Respondent’s have put forth that Complainant has no standing due to Complainant not being a first purchaser. However, Complainant is a direct (or first) purchaser. Per *Visual Comfort & Co., v. Cosco Shipping Lines Co. Ltd.*, Docket No. 2401 and the ORDER DENYING RESPONDENT’S MOTION FOR PARTIAL JUDGMENT ON THE PLEADINGS, (April 30, 2024), there are two cases that inform the assertion that Complainant is a Direct Purchaser. The first referenced in Visual v. Cosco is *In Re: Carrier Services*, 2019 WL 5419475, *7 (FMC Oct. 21, 2019). In Visual, referring to Carrier, the following was determined, “In the leading Commission case on the direct purchaser rule, the Commission affirmed dismissing complaints filed by downstream automobile dealers and consumers, however, it allowed the complaints by the manufacturer and ocean transportation intermediary to proceed.” The second referenced in Visual v. Cosco is *Mediterranean Shipping Co., v. Best Tire Recycling, Inc.*, 254 F. Supp. 3d 305, 308 (D.P.R. 2015) and the salient rationale derived from that follows, “(“Under Clause 1 of MSC’s bill of lading, a “Merchant” is defined to ‘include[] the Shipper, Consignee, hold of the[e] Bill of Lading, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods and or this Bill of Lading or anyone acting on behalf of this Person.’”). Complainant is a Shipper as defined by 46 U.S.C. Section 40102(23), the Consignee on the Master Bill of Lading, and additionally is the OTI for this shipment, and is the party responsible for the disputed charges.

Therefore, Complainant is a Direct Purchaser (or first purchaser as Respondent calls it). In order to confirm the assertion that has been made that Complainant is the Consignee on the Master Bill of Lading, Complainant will provide the Master Bill of Lading as an Exhibit to be called Exhibit A.

CONCLUSION

For the reasons enumerated above, Complainant respectfully requests that the Presiding Officer decline the Respondent's Motion to Dismiss, and that proceedings resume accordingly.

Respectfully submitted,

Sara Dandan

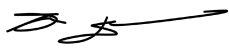
FourOneOne LLC

2501 Chatham Rd, Suite 8082

Springfield, IL 62704

Email: sara@fouroneone.io

Phone: 630-286-9846

Signature:  _____

Dated: 07/11/2024

CERTIFICATE OF SERVICE

I certify that on July 11th, 2024, a true and current copy of the foregoing was filed via electronic mail with the Federal Maritime Commission, and a copy was served via email on all counsel of record:

Sara Dandan

